Investment Screening Memo: Stripe

https://stripe.com · as of 2026-11-04

Programmable financial infrastructure for internet businesses: payments, billing, tax and treasury APIs, now extending into stablecoins and agentic commerce.

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1. Company Snapshot

What they do	API-first payments platform that also sells a Revenue suite (Billing, Invoicing, Tax, etc.) and stablecoin infrastructure through Bridge and Privy. [1] [11] [12]
Business model	Mostly usage-based fees on payment volume plus software fees; the Revenue suite was said to be on track for a ~$1B annual run rate (2025 letter, Feb 2026). Net revenue is not publicly disclosed; Sacra estimates ~$6.9B for 2025. [1] [8]
Customers	Says it powers more than 5 million businesses directly or via platforms, including the top AI companies (2025 letter, Feb 2026). [1]
Stage	Late-stage private and profitable (company-stated for 2025); valued at $159B in a Feb 2026 employee tender offer, with management saying there is no rush to IPO (Jan 2026). [1] [2] [7]
Funding	Last primary round: $6.5B Series I at a $50B valuation (Mar 2023), bringing total raised to about $8.7B; since then, secondary tender offers (most recently $159B, Feb 2026, led by Thrive, Coatue and a16z). [4] [5] [3]
Location	Dual-headquartered in South San Francisco, California and Dublin, Ireland; founded in 2010 by Patrick and John Collison. [6]

2. Market and Competition

- McKinsey (Sep 2025) estimates global payments revenue at ~$2.5T on ~$2.0 quadrillion of value flows, growing ~4%/yr after a slowdown in 2024. [13]
- Stripe's 2025 TPV was ~$1.9T, up 34% YoY, or about 1.6% of global GDP, so it is still taking share in a slow-growing pool. [1]
- Stablecoin payment volume roughly doubled to ~$400B in 2025, an estimated 60% of it B2B, which opens a new rail Stripe is building into. [1]
- Agentic commerce is emerging: Stripe co-developed the Agentic Commerce Protocol with OpenAI and powers Instant Checkout in ChatGPT (Sep 2025). [9]
- **Adyen:** Public, enterprise-focused rival; FY2025 processed volume ~EUR 1.39T and net revenue ~EUR 2.36B, growing more slowly than Stripe. [21]
- **PayPal (Braintree):** Incumbent with ~$1.79T 2025 TPV; Braintree unbranded processing gave up volume in H1 2025 to focus on profitable growth. [20] [22]
- **Checkout.com:** Enterprise and platform challenger: $12B internal valuation (Sep 2025) and $300B+ processed in 2025, up 64% YoY. [18] [19]

3. Investment Thesis

- Scale and growth together: TPV grew from ~$1.4T (2024) to ~$1.9T (2025), with the company profitable. [23] [1]
- Expanding beyond payments: a ~$1B run-rate Revenue suite raises take rate and switching costs beyond processing alone. [1]
- Early position in stablecoin rails, built from the $1.1B Bridge acquisition, Privy wallets, the Tempo L1 (mainnet Mar 2026) and a conditionally approved OCC trust charter (Feb 2026). [12] [11] [10] [15]
- Default processor for the AI wave: it serves top AI companies and co-authored the Agentic Commerce Protocol with OpenAI. [1] [9]

4. Risks and Red Flags

- Opaque financials: net revenue, take rate and margins are undisclosed, and third-party estimates (e.g. Sacra) are the only revenue figures. [8]
- Valuation: $159B (Feb 2026) is ~3x the $50B Series I mark and ~74% above the prior year's tender, leaving little room for a growth slowdown. [2] [3] [4]
- Take-rate pressure: McKinsey flags agentic and autonomous payments as a threat to card fee revenue, and Adyen and Checkout.com compete hard for enterprise volume. [13] [18]
- Regulatory and crypto exposure: the bank lobby group ICBA opposed Bridge's national trust charter, and stablecoin businesses add compliance and reputational risk. [16] [14]
- Red flag (minor): a 300-role (~3.5%) cut in Jan 2025, even though the company planned to keep growing headcount. [17]

5. Potential Acquirers and Strategic Investors

- **IPO / public markets:** The most plausible exit at this size, though the Collisons say there is no rush to list (Jan 2026). [7]
- **Thrive Capital, Coatue, a16z:** Main buyers in the Feb 2026 tender, likely to keep providing private liquidity. [3]
- **GIC / Temasek (sovereign funds):** Joined the 2023 Series I; natural buyers of large pre-IPO secondary blocks. [4]
- **Visa or Mastercard:** Analytical: a strategic stake or partnership in network-adjacent rails (stablecoins, agentic tokens); a full acquisition is unlikely given size and antitrust.

6. Open Questions for Management

1 What were 2025 net revenue, take rate and non-GAAP operating margin, and how did they split between payments and the Revenue suite?

2 How concentrated is TPV among the top 20 customers and platforms, and what is net revenue retention by segment?

3 How much revenue do stablecoins (Bridge, Tempo) bring in today, and what is the path to material contribution?

4 How does take rate on AI-company and agentic (ACP) volume compare with traditional e-commerce?

5 What is the status of Bridge's OCC charter after the Feb 2026 conditional approval, and which capabilities depend on it?

6 What would trigger an IPO decision, and how often will tender offers continue?

7 Where is Stripe losing enterprise deals to Adyen or Checkout.com, and on what criteria?

7. Sources

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